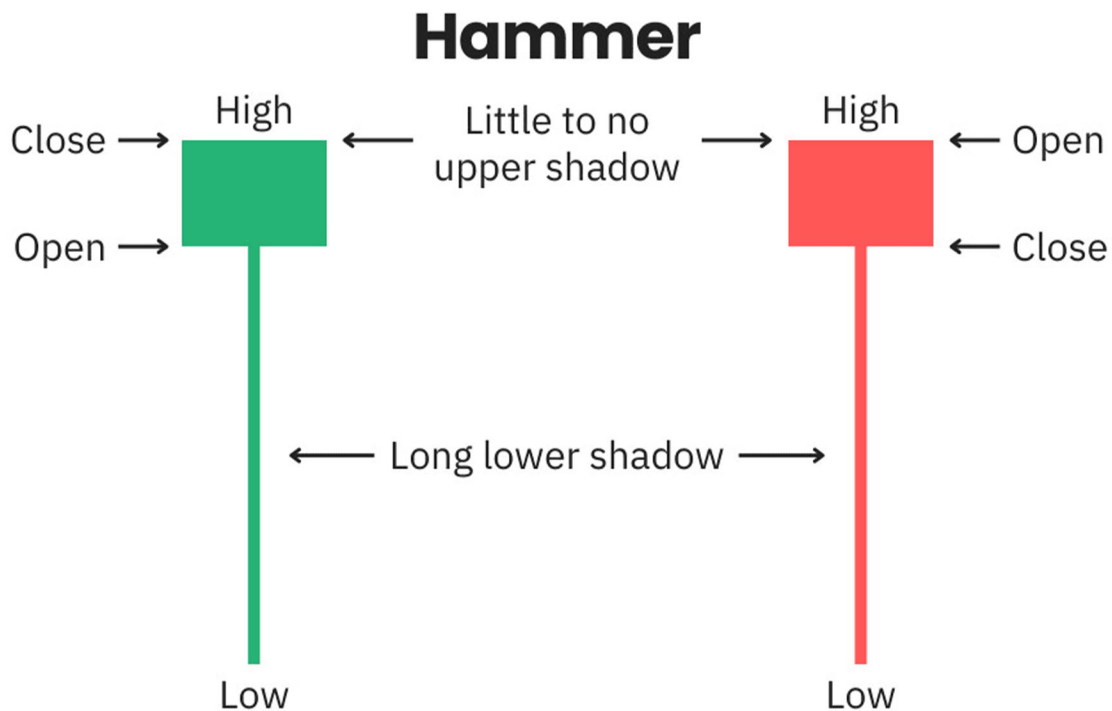


Hammer

The hammer is a bullish reversal pattern that appears at the bottom of a downtrend. It indicates that sellers initially drove the price lower, but strong buying pressure later pushed it back up, closing near the opening price.



A hammer has a small real body near the top of the candle and a long lower wick that is at least twice the size of the body. The upper wick is either very small or nonexistent.

This pattern signals a potential trend reversal, but confirmation is required. Traders look for the next candle to close above the hammer's high to validate the reversal. The hammer pattern is more reliable when it forms after a prolonged downtrend at key support levels and when accompanied by higher trading volume.



● Key Tips For The Hammer Candlestick Pattern

1. Indicates a rejection of lower prices, showing buyers stepping in.
2. Often signals a potential trend reversal but requires confirmation.
3. A hammer with a higher close is stronger than one with a lower close.
4. Works best when trading volume is high.
5. Can appear in any timeframe but is most significant on daily and higher time frames

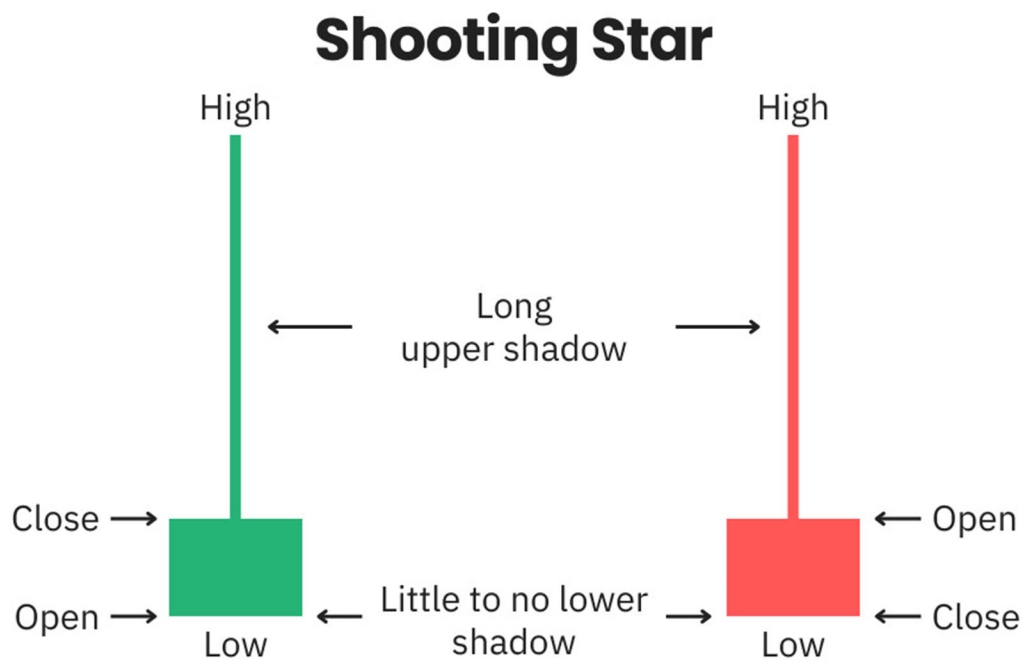
Section	Details
Construction	First Candle: A bearish candle preceding the hammer, often large-bodied. Second Candle: A bullish confirmation candle that closes above the hammer's high.
Forecast	A bullish reversal is likely if confirmed by a strong green candle closing above the hammer's high.
Type of Pattern	Single-candle bullish reversal pattern.
Trend Prior to the Pattern	Forms after a downtrend, signaling a possible upward reversal.
Opposite Pattern	Inverted Hammer
Stop-Loss Placement	Below the low of the hammer's wick to allow for price fluctuations while maintaining a favorable risk-to-reward ratio.
Candlestick Success Rate In Accuracy:	55 – 72%

● How Set Up a Trade with The Hammer Candlestick Pattern:

1. Identify a hammer pattern at the bottom of a downtrend.
2. Wait for confirmation with the next candle closing above the hammer's high.
3. Enter a buy trade at the close of the confirmation candle.
4. Place a stop-loss below the hammer's wick for protection.
5. Set a take-profit target based on the next resistance level.

Shooting Star

The shooting star is a bearish reversal pattern that appears at the top of an uptrend. It signals that buyers attempted to push the price higher, but strong selling pressure drove it back down, resulting in a close near the opening price.



The candle has a small real body at the lower end of the range and a long upper wick at least twice the size of the body, with little to no lower wick. This pattern suggests that bullish momentum is weakening, and a potential reversal to the downside may occur. However, confirmation is needed with the next candle closing below the low of the shooting star. Its reliability increases when it forms at key resistance levels and with high trading volume.



● Key Tips For The Shooting Star Candlestick Pattern

1. Indicates a rejection of higher prices and loss of bullish momentum.
2. More powerful when the upper wick is significantly longer than the body.
3. A gap up before the formation strengthens the bearish signal.
4. Works best when found near resistance levels or after a strong uptrend.
5. Can be used with RSI or other momentum indicators to confirm overbought conditions.

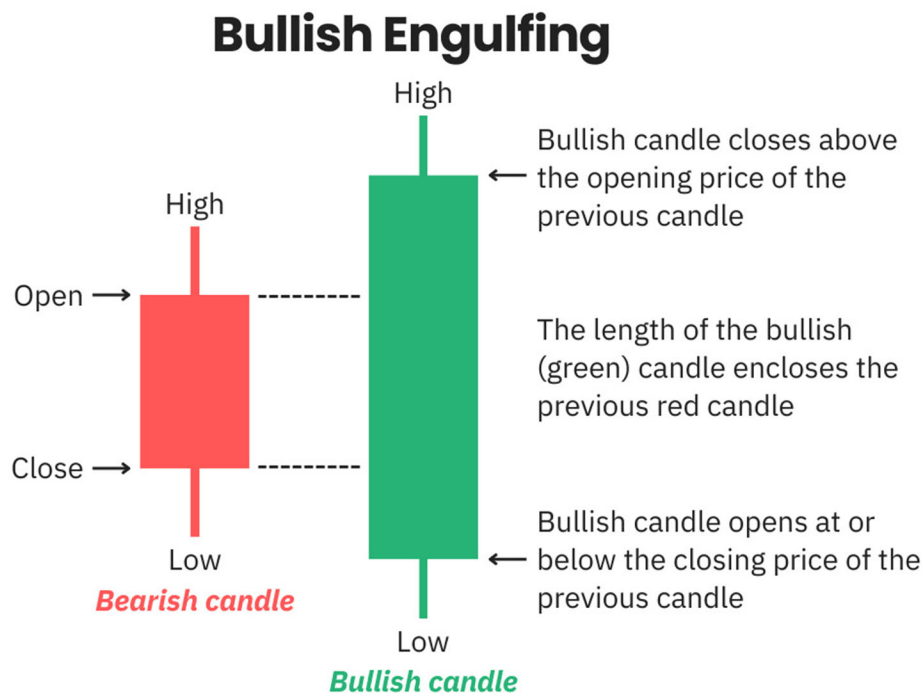
Section	Details
Construction	First Candle: A bullish candle preceding the shooting star, often large-bodied. Second Candle: A bearish confirmation candle that closes below the shooting star's low.
Forecast	A bearish reversal is likely if confirmed by a strong red candle closing below the shooting star's low.
Type of Pattern	Single-candle bearish reversal pattern.
Trend Prior to the Pattern	Forms after an uptrend, signaling a possible downward reversal.
Opposite Pattern	Inverted Hammer
Stop-Loss Placement	Above the high of the shooting star's wick to allow for price fluctuations while maintaining a favorable risk-to-reward ratio.
Candlestick Success Rate In Accuracy:	54 – 71%

● How Set Up a Trade with The Shooting Star Candlestick Pattern:

1. Identify a shooting star pattern at the top of an uptrend.
2. Wait for confirmation with the next candle closing below the shooting star's low.
3. Enter a sell trade at the close of the confirmation candle.
4. Place a stop-loss above the shooting star's wick for protection.
5. Set a take-profit target based on the next support level

Bullish Engulfing

The engulfing pattern is a two-candle bullish reversal formation that appears at the bottom of a downtrend. It consists of a small bearish candle followed by a larger bullish candle that completely engulfs the previous candle's body. This signals a shift in momentum, as buyers have overwhelmed sellers, pushing the price higher.



To find strong confirmation, look for the next candle to close above the bullish engulfing candle's high. This pattern is most effective when it forms at key support levels after a prolonged downtrend and when there is high trading volume.



● Key Tips For The Bullish Engulfing Candlestick Pattern

1. Signals a shift in control from sellers to buyers.
2. The larger the second candle relative to the first, the stronger the pattern.
3. Volume should increase on the engulfing candle for higher reliability.
4. Works best at key support levels or after an extended downtrend.
5. An engulfing pattern that engulfs multiple candles is even stronger.

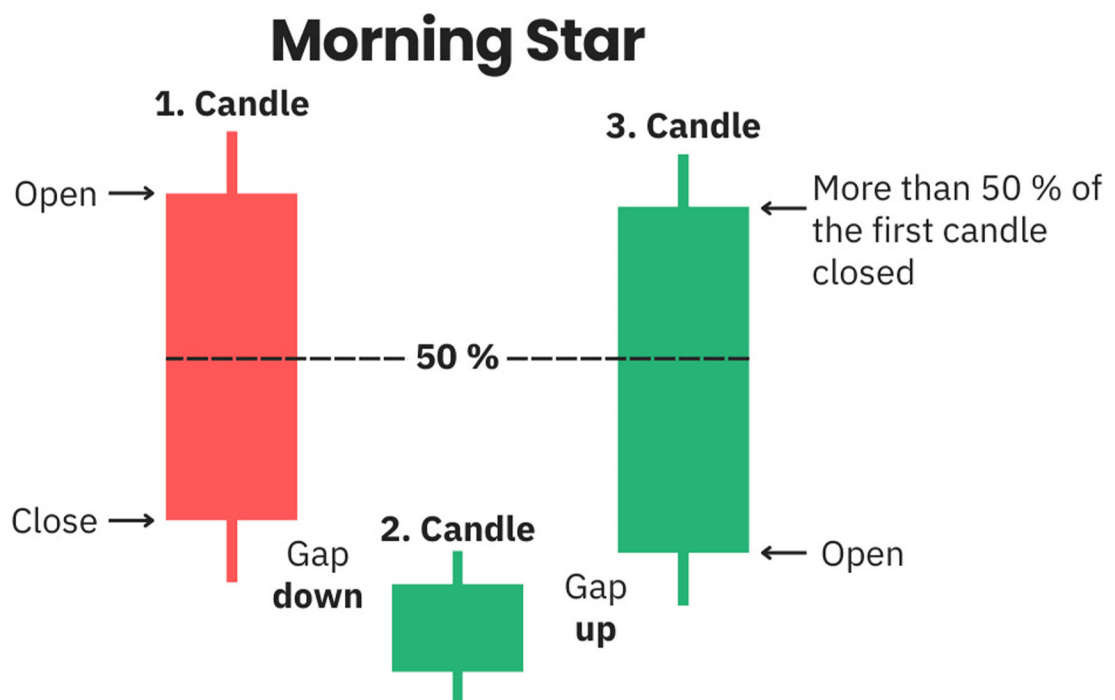
Section	Details
Construction	First Candle: A small bearish candle forming in a downtrend. Second Candle: A larger bullish candle that engulfs the first candle's real body.
Forecast	A bullish reversal is likely if confirmed by a strong green candle closing above the bullish engulfing pattern.
Type of Pattern	Two-candle bullish reversal pattern.
Trend Prior to the Pattern	Forms after a downtrend, signaling a possible upward reversal.
Opposite Pattern	Bearish Engulfing
Stop-Loss Placement	Below the low of the bullish engulfing candle to minimize risk.
Candlestick Success Rate In Accuracy:	63% – 67%

● How Set Up a Trade with The Engulfing Candlestick Pattern:

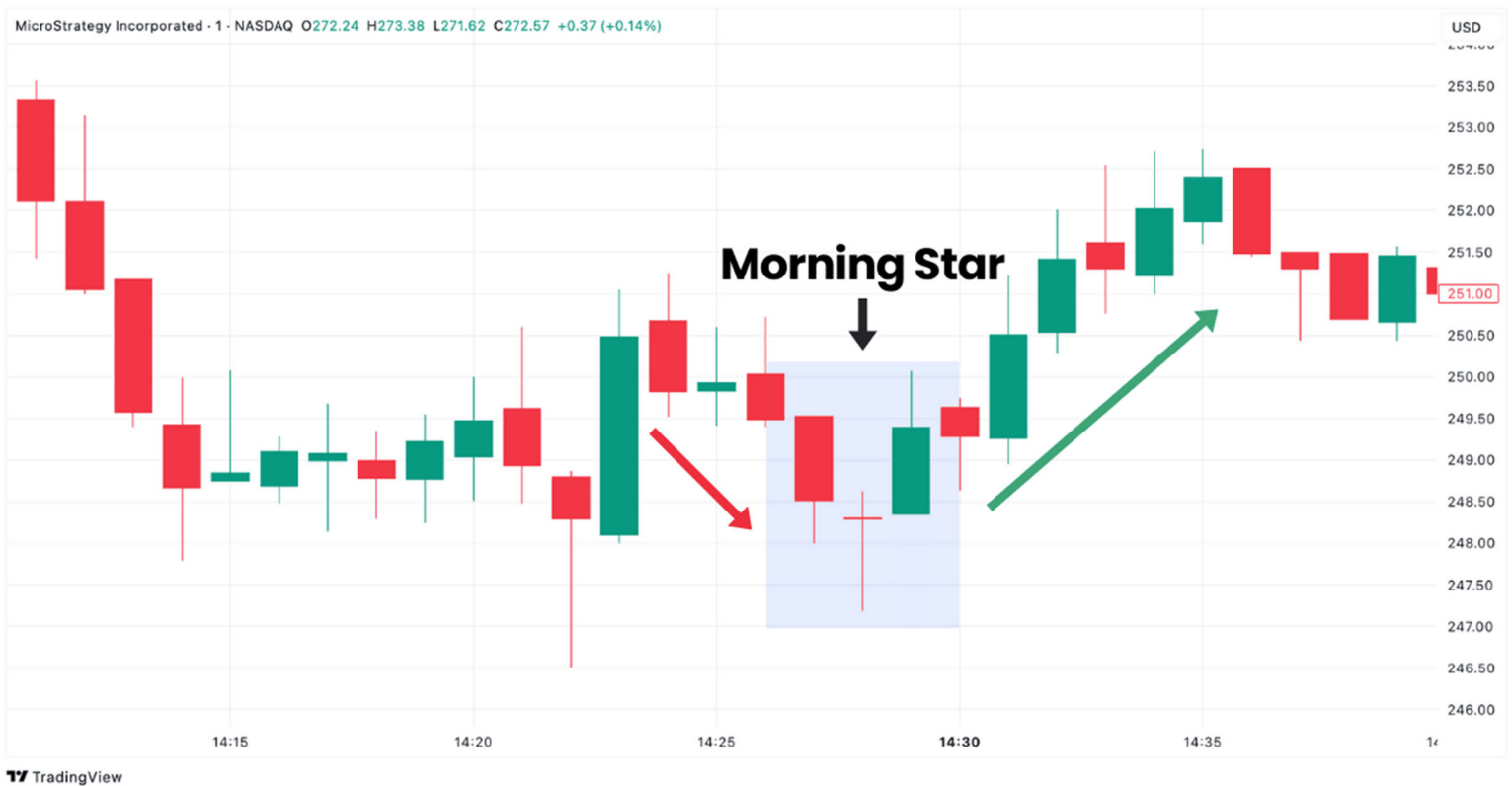
1. Identify a bullish engulfing pattern at the bottom of a downtrend.
2. Wait for confirmation with the next candle closing above the bullish engulfing candle's high.
3. Enter a buy trade at the close of the confirmation candle.
4. Place a stop-loss below the low of the bullish engulfing candle.
5. Set a take-profit target based on the next resistance level.

Morning Star

The morning star is a three-candle bullish reversal pattern that appears at the bottom of a downtrend. It consists of a large bearish candle, followed by a small-bodied candle (which can be bullish, bearish, or a doji), and finally, a strong bullish candle that closes well above the midpoint of the first candle. This formation signals that selling pressure has weakened, and buyers are beginning to regain control.



Traders consider the morning star a strong reversal pattern when it forms at key support levels or after an extended downtrend. Higher volume on the third candle strengthens its reliability. Confirmation comes when the next candle continues upward, closing above the third candle's high.



● Key Tips For The Morning Star Candlestick Pattern

1. Works best when the third candle has high volume and a strong close.
2. A longer third candle increases the reliability of the pattern.
3. More effective when found at major support zones or Fibonacci levels.
4. May fail if the third candle does not close above the midpoint of the first candle.
5. Can be combined with RSI or MACD to confirm oversold conditions.

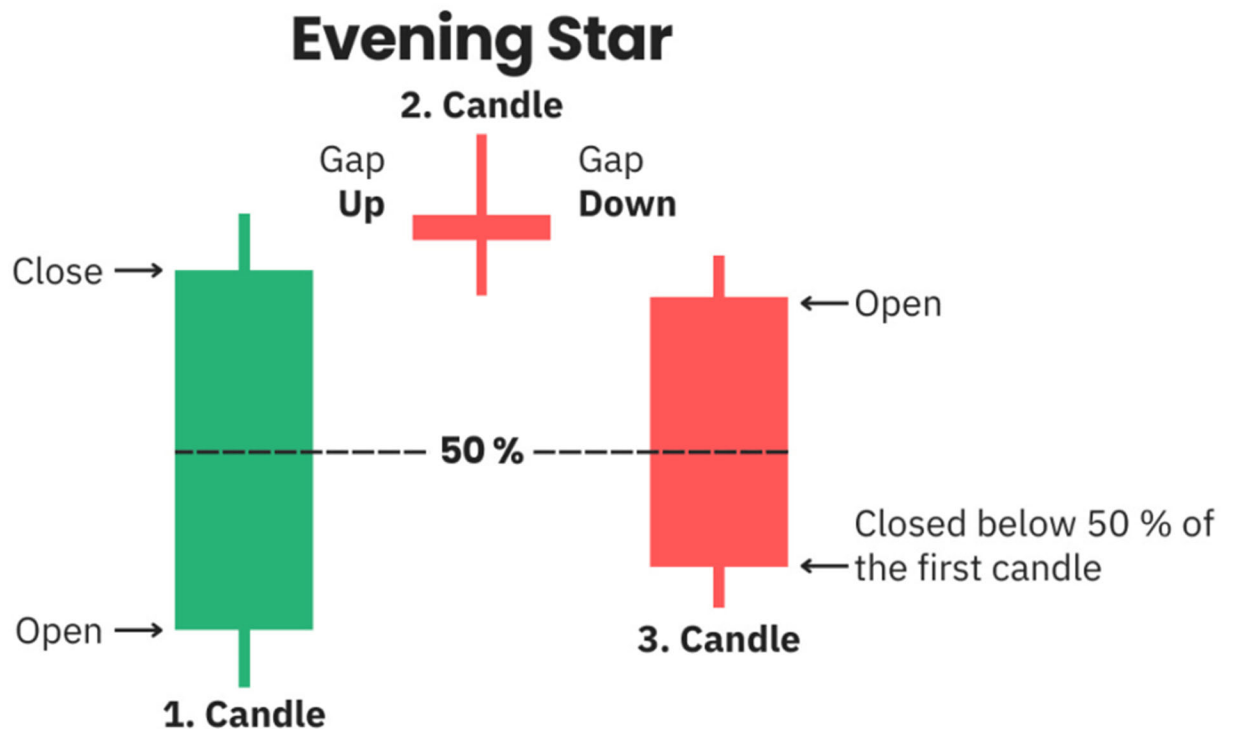
Section	Details
Construction	First Candle: A large bearish candle continuing the existing downtrend. Second Candle: A small-bodied candle that represents indecision (can be bullish, bearish, or a doji). Third Candle: A strong bullish candle closing above the midpoint of the first candle.
Forecast	A bullish reversal is likely if confirmed by a strong green candle continuing higher.
Type of Pattern	Three-candle bullish reversal pattern.
Trend Prior to the Pattern	Appears at the bottom of a downtrend, indicating a potential upward reversal.
Opposite Pattern	Evening Star
Stop-Loss Placement	Below the low of the second candle (indecision candle) to allow for price fluctuations while protecting risk.
Candlestick Success Rate In Accuracy:	52-75%

● How Set Up a Trade with The Morning Star Candlestick Pattern:

1. Identify a morning star pattern at the bottom of a downtrend.
2. Wait for confirmation with the next candle closing above the morning star's high.
3. Enter a buy trade at the close of the confirmation candle.
4. Place a stop-loss below the lowest point of the pattern (second or first candle).
5. Set a take-profit target at the next resistance level.

Evening Star

The evening star is a three-candle bearish reversal pattern that forms at the top of an uptrend. It consists of a large bullish candle, followed by a small-bodied candle (which can be bullish, bearish, or a doji), and finally a strong bearish candle that closes well below the midpoint of the first candle. This pattern signals that buying momentum has weakened, and sellers are taking control.



The evening star pattern is considered highly reliable, especially when it forms near strong resistance levels. Its effectiveness is enhanced when the third candle has a high trading volume. Confirmation occurs when the next candle continues downward, closing below the third candle's low.



● Key Tips For The Evening Star Candlestick Pattern

1. Appears at the top of an uptrend, signaling a potential bearish reversal.
2. A sharp drop on the third candle increases confidence in the reversal.
3. Works best near key resistance areas or after a strong bullish run
4. A version with a doji as the second candle (Evening Doji Star) is even stronger.
5. Can be combined with RSI to confirm overbought conditions before a reversal.

Section	Details
Construction	First Candle: A large bullish candle continuing the existing uptrend. Second Candle: A small-bodied candle (often indecision or a doji) showing a pause. Third Candle: A strong bearish candle closing below the midpoint of the first candle.
Forecast	A bearish reversal is likely if confirmed by a strong red candle following through downward.
Type of Pattern	Three-candle bearish reversal pattern.
Trend Prior to the Pattern	Forms at the top of an uptrend, signaling a potential downward reversal.
Opposite Pattern	Morning Star
Stop-Loss Placement	Above the high of the indecision (second) candle or the evening star's high.
Candlestick Success Rate In Accuracy:	55-68%

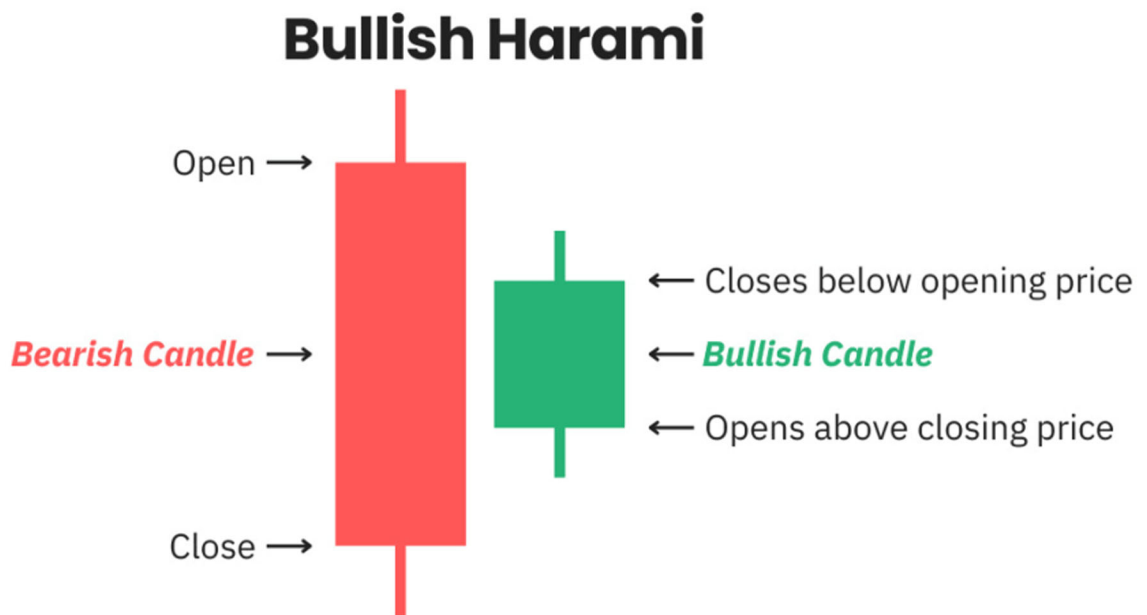
● How Set Up a Trade with The Evening Star Candlestick Pattern:

1. Identify an evening star pattern at the top of an uptrend.
2. Wait for confirmation with the next candle closing below the evening star's low.
3. Enter a sell trade at the close of the confirmation candle.
4. Place a stop-loss above the highest point of the pattern (second or first candle).
5. Set a take-profit target at the next support level.

Harami

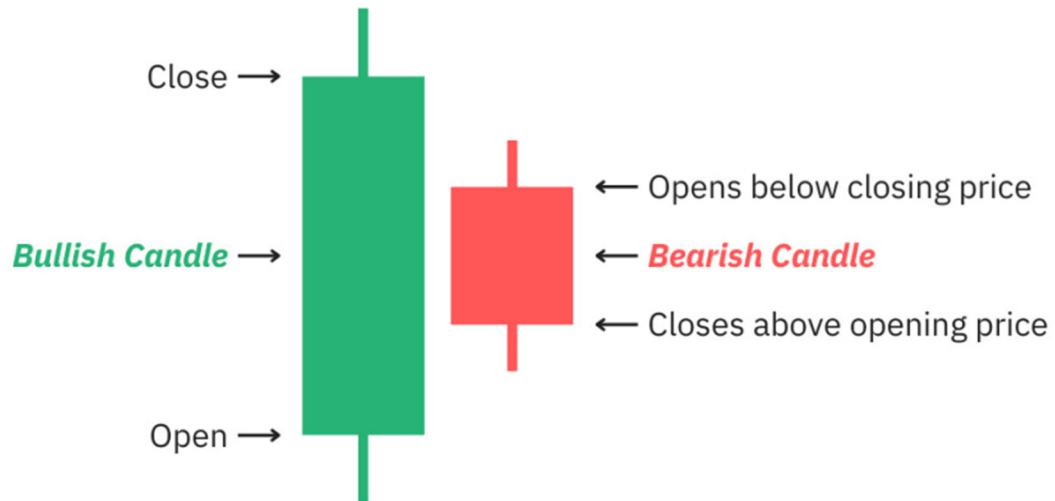
The harami is a two-candle reversal pattern that can be either bullish or bearish, depending on the trend in which it forms. The pattern consists of a large first candle, followed by a second, smaller candle that is completely contained within the body of the first candle. This structure suggests a weakening of momentum and potential reversal.

A bullish harami appears at the bottom of a downtrend, where the first candle is bearish, and the second is a small bullish candle inside its range. This indicates that selling pressure is fading, and a possible reversal to the upside may follow.



A bearish harami forms at the top of an uptrend, where the first candle is bullish, and the second is a small bearish candle, showing weakening buying pressure and a potential reversal downward.

Bearish Harami



● Key Tips For The Harami Candlestick Pattern

1. Harami means “pregnant” in Japanese, as the smaller second candle is “inside” the first.
2. Indicates hesitation in the prevailing trend, often leading to a reversal.
3. The second candle must be entirely contained within the first candle’s real body.
4. Works best when found at key support (bullish) or resistance (bearish) levels.
5. High trading volume on the confirmation candle increases its reliability.





Section	Details
Construction	First Candle: A strong bullish or bearish candle (depending on the trend). Second Candle: A small-bodied candle completely inside the first candle's range.
Forecast	A reversal is likely if confirmed by the next candle closing beyond the second candle's range.
Type of Pattern	Two-candle reversal pattern.
Trend Prior to the Pattern	A bullish harami appears in a downtrend, while a bearish harami appears in an uptrend.
Opposite Pattern	The opposite of a bullish harami is a bearish harami, and vice versa.
Stop-Loss Placement	Below the low of the second candle for a bullish harami, and above the high of the second candle for a bearish harami.
Candlestick Success Rate In Accuracy:	53-76%

● How Set Up a Trade with The Harami Candlestick Pattern

1. Identify a bullish harami at the bottom of a downtrend or a bearish harami at the top of an uptrend.
2. Wait for confirmation with the next candle closing above
3. Enter a buy trade (for bullish harami) or sell trade (for bearish harami) at the close of the confirmation candle.
4. Place a stop-loss below the second candle's low (bullish) or above its high (bearish).
5. Set a take-profit target at the next resistance (bullish) or support (bearish).